CITY OF CAMBRIDGE



FY27 Capital Budget

Finance Committee Meeting

February 11, 2026

Executive Summary

- Last week, we shared an update on how we are planning for the FY27 operating budget amid economic headwinds and federal uncertainty
- Our capital budget differs from our operating budget in its timing, purpose, and funding sources, but capital decisions affect our operating budget through the payment of debt service
- Over the past ten years, we have invested in many sewer, water, schools, open space, streets, and municipal buildings capital projects across the City
  - At the same time, our tax-supported debt service has grown faster than the operating budget in all but two of the past ten years
- Meeting our target of 5% tax-supported debt service growth in the long-term will require careful prioritization and understanding of new and existing projects
- We are continuing to work with departments to identify opportunities to reduce our five-year bond schedule by project type (e.g., open space, municipal building, streets, etc.)
- Beyond FY29, we have set aside minimum required bonding amounts for each project type based on minimum program needs, though there are large projects identified by departments as future needs that have yet to be included within the bond schedule

Last week, we shared an update on the operating budget, which differs from our capital budget in key ways

	Operating	Capital
Purpose	▪ Funds day to day expenses (e.g., community programs, City administration, resident services)	▪ Funds the purchase and construction of buildings, land, parks, streets, sewers, and equipment
Timing	▪ Funds must be expended within fiscal year	▪ Funds carry over until project is completed
Funding Sources	▪ Primarily property taxes, as well as other sources like licenses & permits	▪ Primarily bond proceeds, as well as other sources like water and sewer service charges and free cash
Examples	▪ Salaries and benefits ▪ Supplies (e.g., road salt) ▪ Training	▪ Exterior improvements to City Hall ▪ Reconstruction of River Street ▪ Purchase of fire trucks, garbage trucks

Bonding for capital projects is a multi-step process that involves authorizing a loan, issuing the bond, paying down debt, and spending

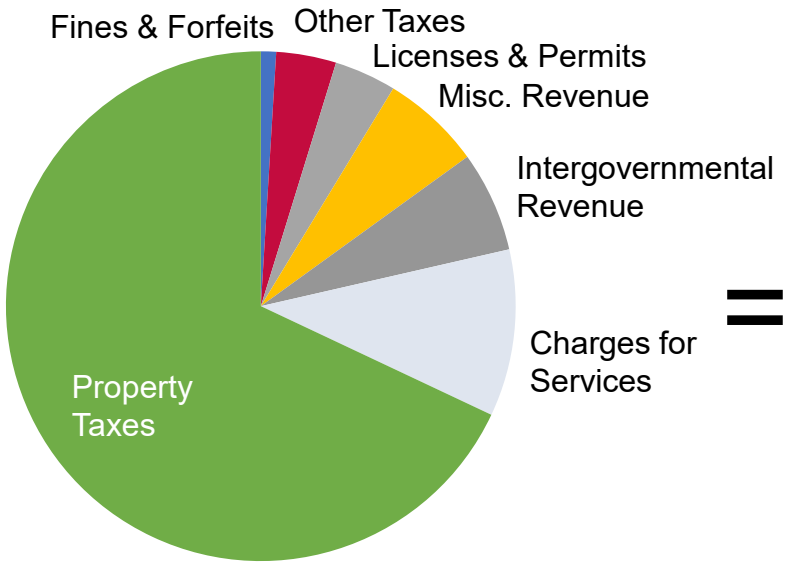
Capital Budget	The City's capital budget is a plan for future capital program spending.
Loan Authorization	Loan orders for projects in the capital budget require City Council approval in the form of a loan authorization.
Bond Schedule	A bond schedule is organized based on the cash flow needs of each individual project, ensuring the City only issues new debt when it is needed.
Bond Issuance	Bond issuances create debt, which can be structured on 5-, 10-, or 20-year terms, in exchange for the funds for the project.
Debt Service Payments & Spending	For the life of the bond, the City is obligated to pay principal and interest payments, or debt service. Once bonds are sold, 95% of the bond issuance should be spent within 2 years.

Issuing bonds generates additional debt service costs, an expenditure within our operating budget

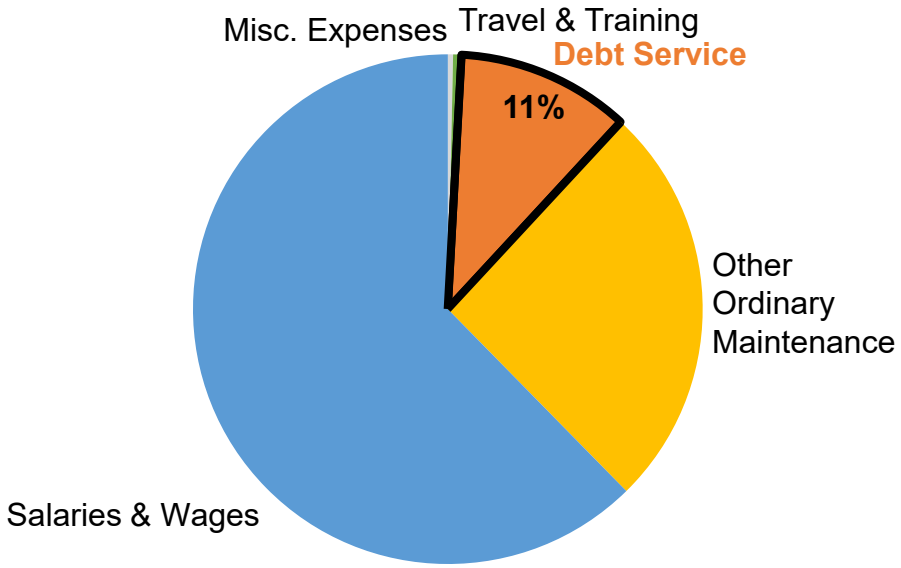
Operating Revenue
Total: $992M

=

Operating Expenditures
Total: $992M



=



Higher levels of bonding, and thus higher debt service costs, can add financial pressure on many other items/programs funded by the operating budget.

*Graph breakdowns taken from FY26 operating budget figures

Long-term capital planning is important because we continue to pay debt for a project long after it was issued

Example of debt service (principal and 4% interest) paid on an illustrative $90M project ($M)

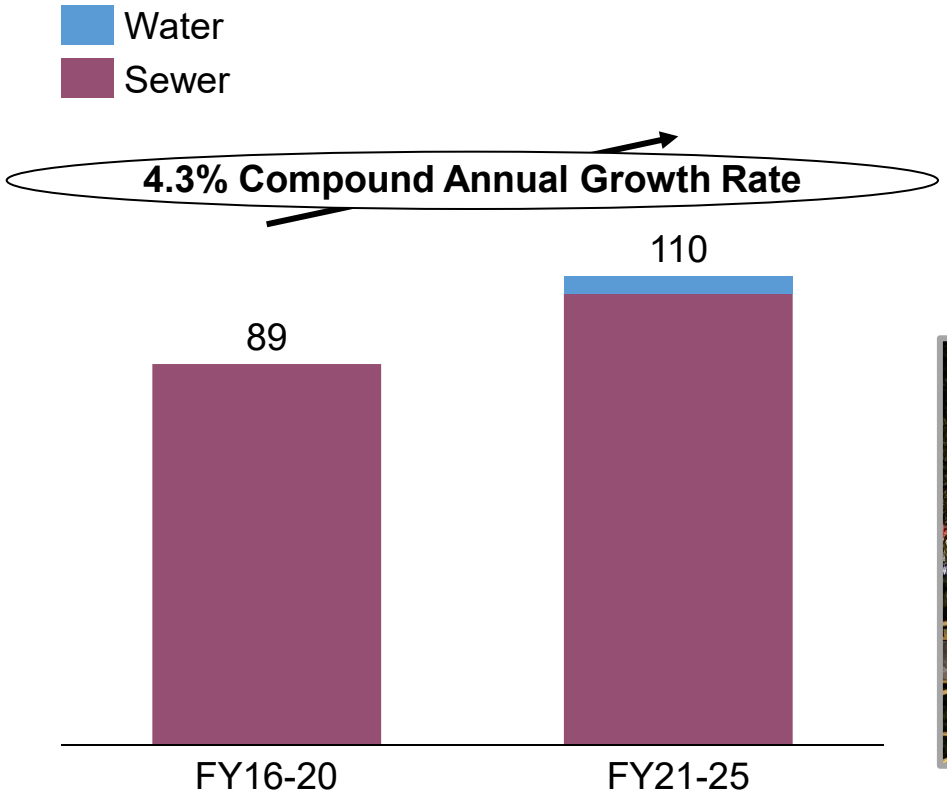


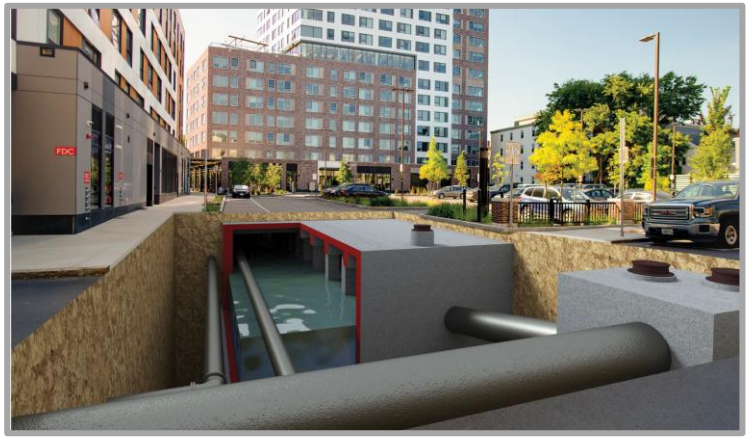
Note: the City has ~$694M total in outstanding debt to be repaid

*Most of the City's bond issuances are structured in 10-year terms, as illustrated here. However, the City occasionally issues 5- and 20-year bonds.

Over the past ten years, we have invested in sewer separation, stormwater management, and sewer and water maintenance projects

Cambridge self-supported bond issuances over time, total bonding over five years ($M)





Parking Lot 6 Stormwater Storage Tank in The Port



Sewer Lining, Beech St at Orchard St

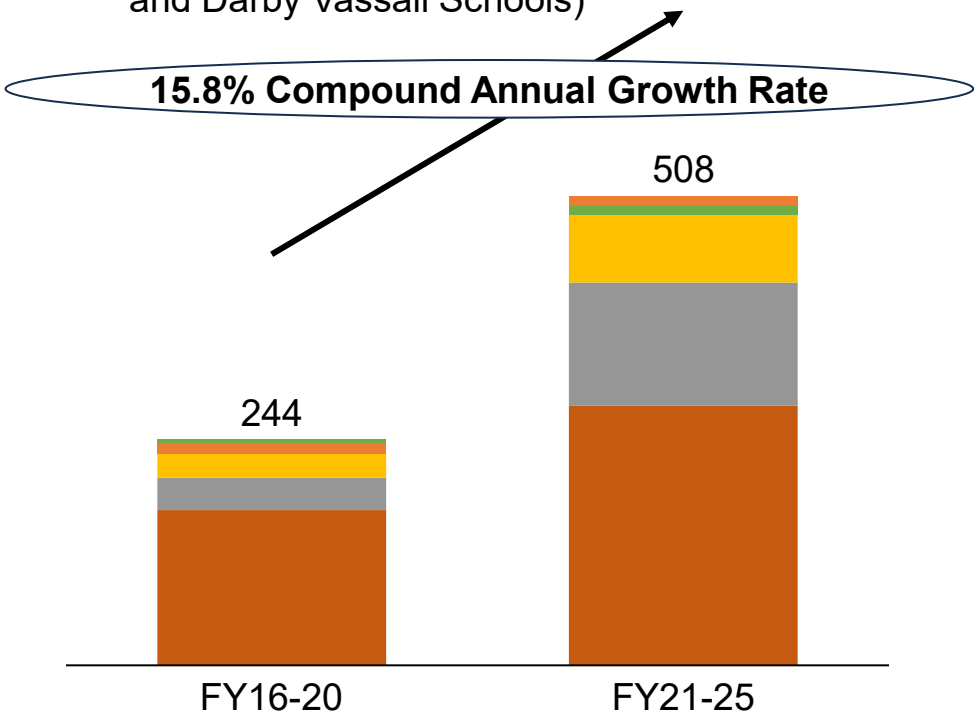


West Cambridge Sewer Separation, Huron Avenue water main

We have also invested in school, open space, streets, and municipal building infrastructure projects across the City

Cambridge tax-supported bond issuances over time,
total bonding over five years ($M)

- School Improvements
- Open Space and Paths
- Streets (i.e., Cycling Safety Ordinance, Complete Streets)
- Municipal Buildings
- Large School Projects (e.g., King Open, Tobin Montessori and Darby Vassall Schools)





Peabody School Rooftop Exhaust Fan Upgrades

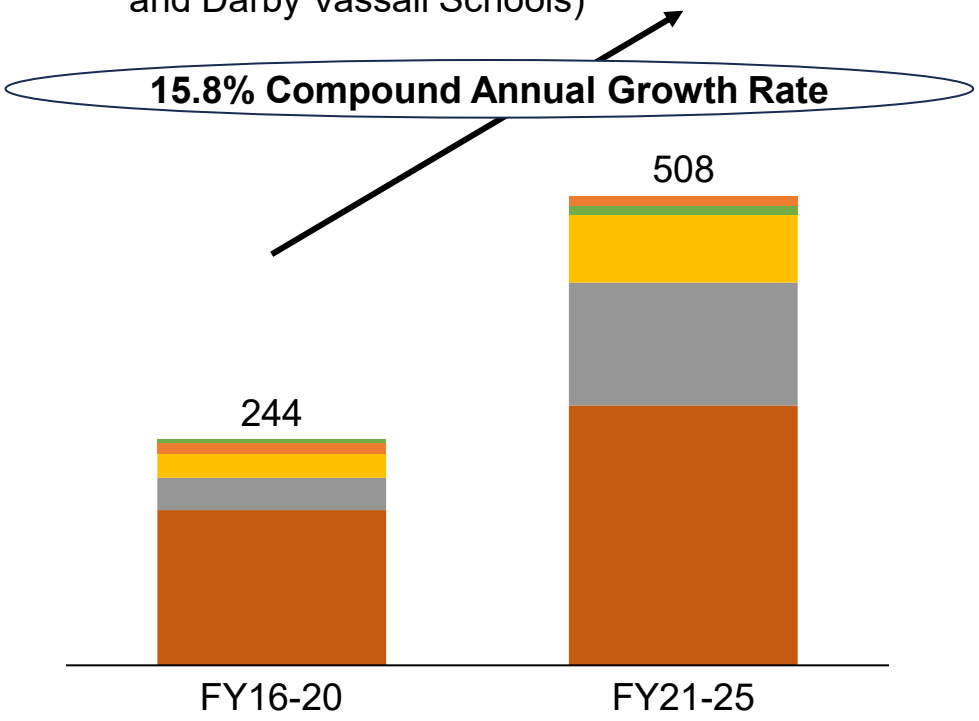


Fairmont Avenue Shared Street, part of the River Street Reconstruction Project

We have also invested in school, open space, streets, and municipal building infrastructure projects across the City

Cambridge tax-supported bond issuances over time,
total bonding over five years ($M)

- School Improvements
- Open Space and Paths
- Streets (i.e., Cycling Safety Ordinance, Complete Streets)
- Municipal Buildings
- Large School Projects (e.g., King Open, Tobin Montessori and Darby Vassall Schools)



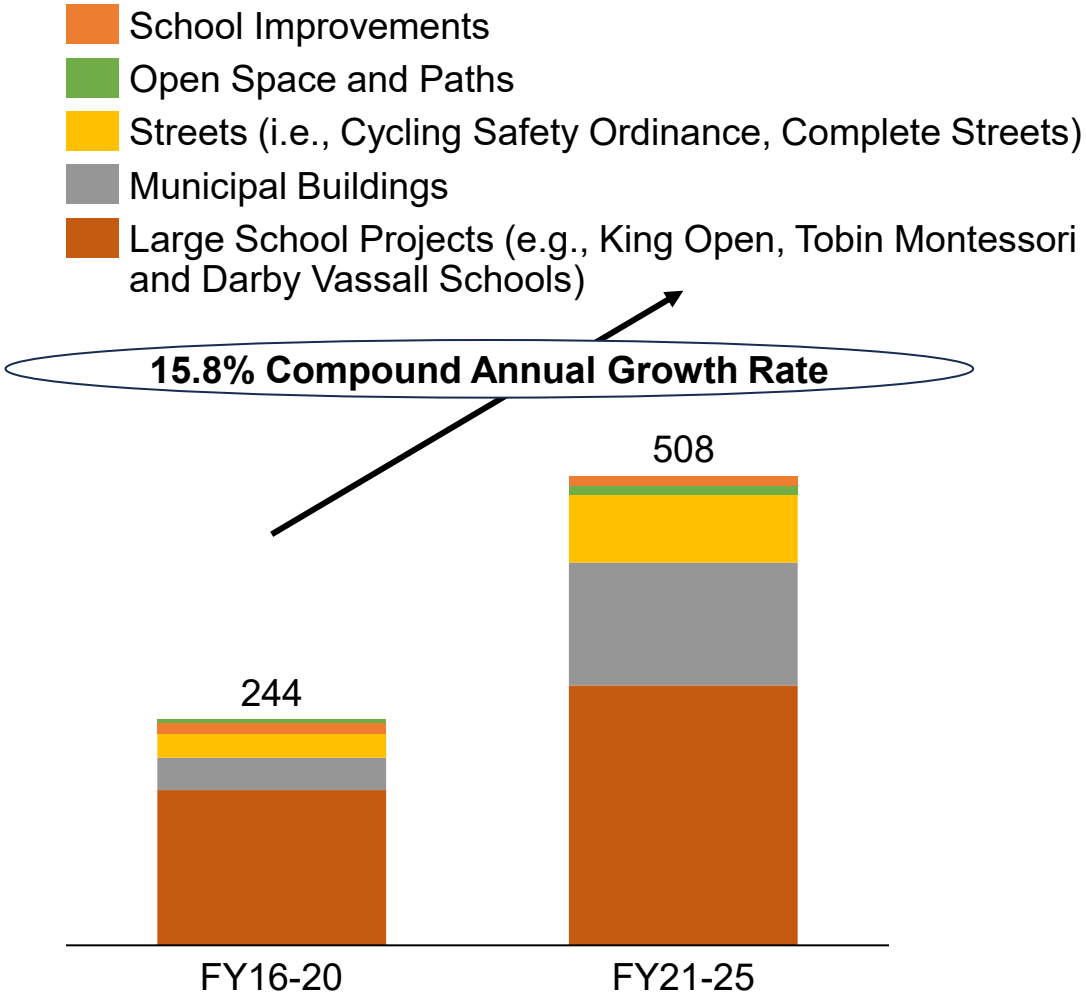




Peabody School Playground Improvements

We have also invested in school, open space, streets, and municipal building infrastructure projects across the City

Cambridge tax-supported bond issuances over time,
total bonding over five years ($M)



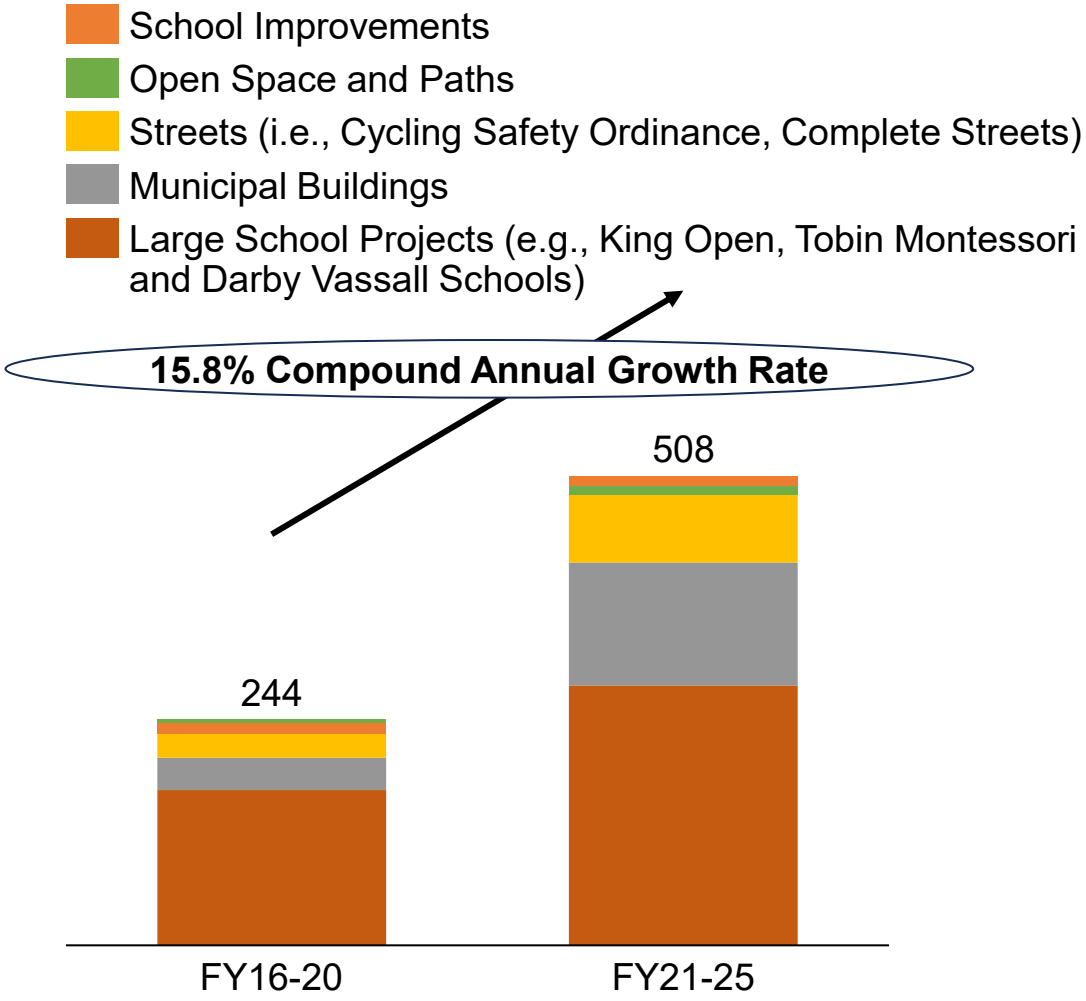




DPW Simard Building, office renovations, rooftop solar panel installation, and geothermal well drilling

We have also invested in school, open space, streets, and municipal building infrastructure projects across the City

Cambridge tax-supported bond issuances over time,
total bonding over five years ($M)





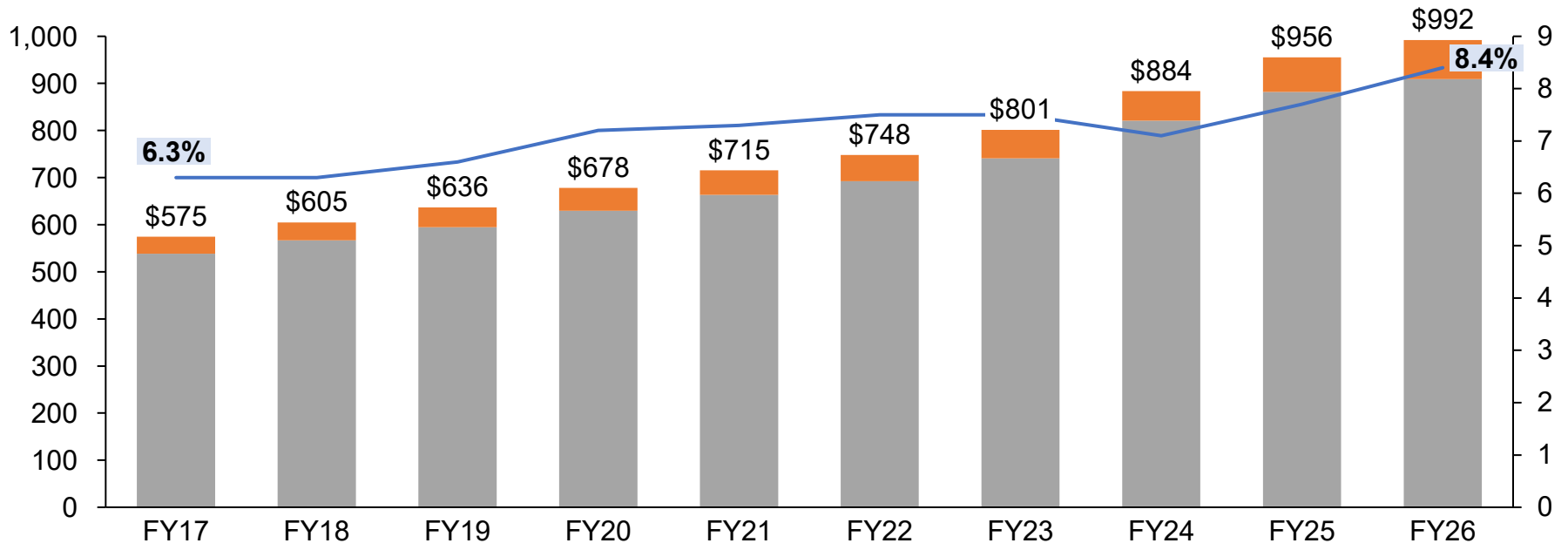


City Hall Façade Restoration Project

However, tax-supported debt service has grown faster than the operating budget in all but two of the past ten years

Operating budget
In million $

Tax-supported debt service as a percentage of operating budget
%



	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Op. budget growth rate	5.3%	5.3%	5.2%	6.6%	5.4%	4.6%	7.1%	10.3%*	8.1%	3.8%
Tax-Supported Debt Service growth rate	3.0%	5.6%	9.8%	16.5%	6.3%	7.6%	7.8%	3.8%	17.9%	12.5%

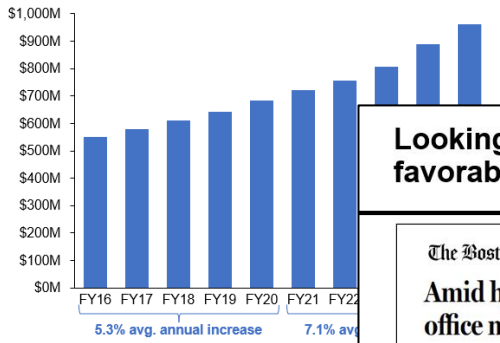
Tax-Supported debt service as a % of operating budget Tax-Supported debt service costs Other expenditures

*Part of increase due to accounting methodology changes

Last week, we discussed how the City is facing a multi-year downturn with falling commercial values, weak economic trends, & slower development

Over the past decade, the City benefitted from a favorable macroeconomic environment, which enabled major operating and capital investments

Annual Operating Budget
($M)



Growth in the operating budget reflect
in affordable housing, early childhood
climate initiatives, and extended schoo
increased debt service related to capit

Annual Tax-Supported Bonding
Five-year average ($M)

- Municipal Buildings
- Open Space
- Other Schools Projects
- MLK/PAUS, King Open/CSUS, & Tobin/DVUS Schools
- CSO - Central Sq, Mass Ave, and Harvard Sq

CITY OF CAMBRIDGE

Looking ahead, the macroeconomic outlook for the next several years is less favorable

The Boston Globe

Amid hybrid work and sluggish economy, Boston's office market is hurting

By some measures, vacancy has hit its highest level in three decades, as companies re-evaluate their office needs and forestall big expansions.

By Catherine Carlock Globe Staff, Updated January 17, 2023, 6:09 a.m.



THE BOSTON GLOBE

'A cloud hanging over everybody's head': New construction in Greater Boston faces a slowdown

Permits are down even as the region focuses on trying to build more to address a mounting housing crisis.



BISNOW

Nearly A Third Of U.S. Lab Space Is Available For Lease As Supply Drowns Demand

September 26, 2024 | Patrick Sisson, National



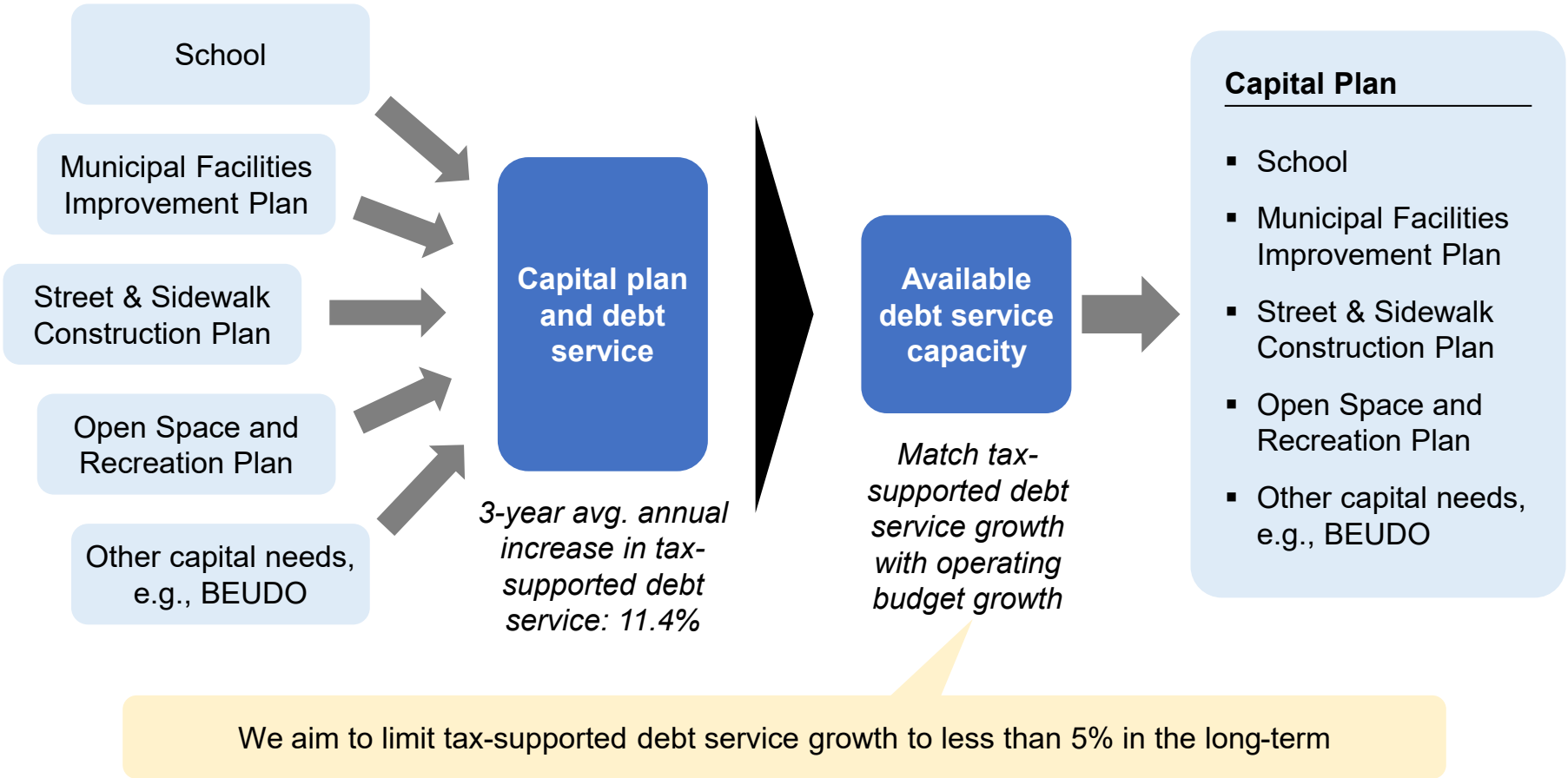
CITY OF CAMBRIDGE

8

To maintain financial stability, we set targets for our resource-constrained capital planning approach to moderate debt service going forward

Our debt service and capital plan have been driven largely by project plans …

… Going forward, available debt service capacity will determine project prioritization

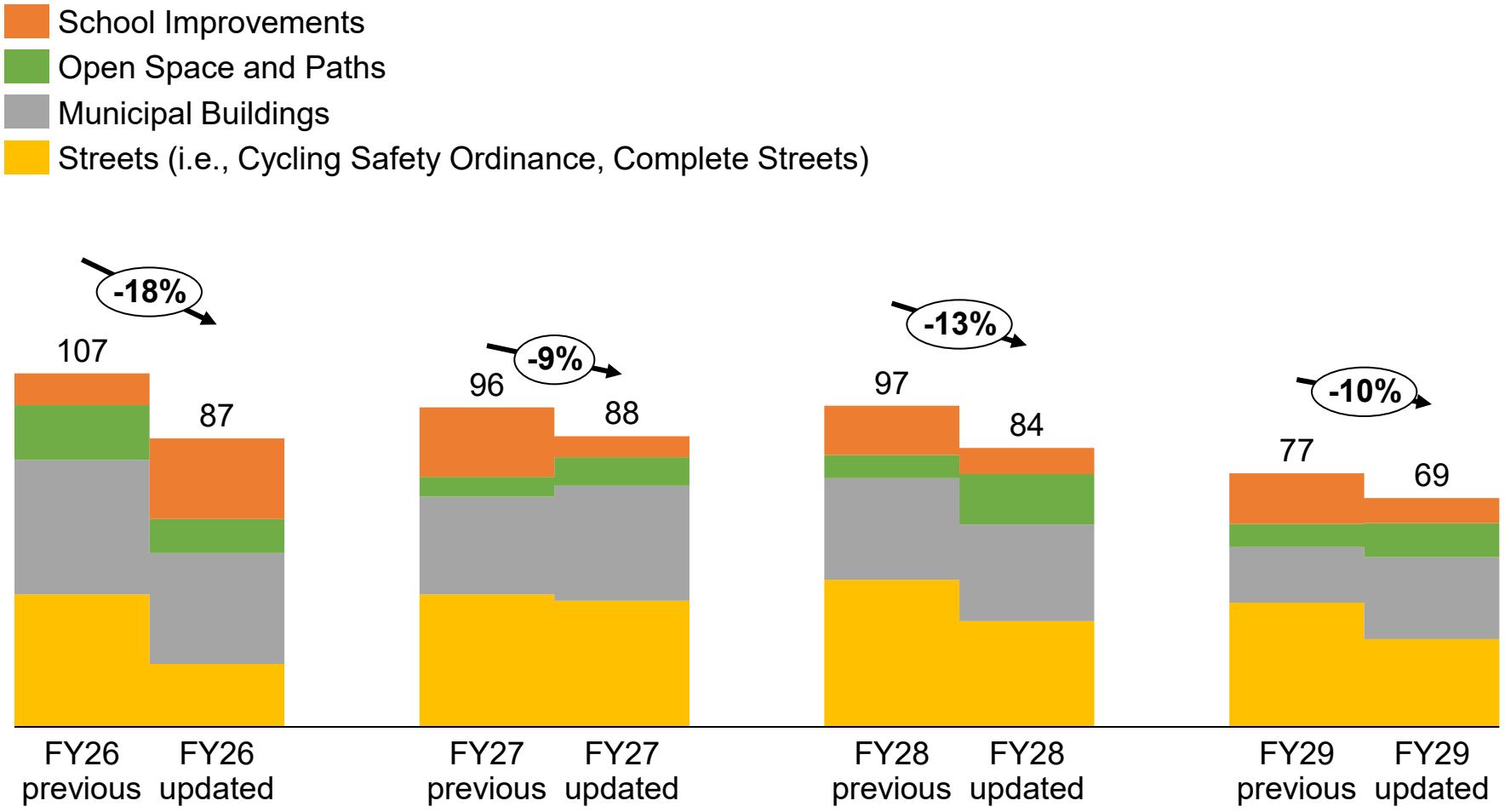


We aim to limit tax-supported debt service growth to less than 5% in the long-term

*Tax-supported debt service in FY26 is $83.1M or 8.38% of the operating budget. Debt service related to water and sewer capital investment is supported by water and sewer revenue

To limit tax-supported debt service growth, we have been working with departments to manage the scope & timing of projects to reduce bonding

Cambridge tax-supported projected bond issuances from FY25 versus FY26 bond schedule ($M)



The School Department will continue to complete critical school maintenance within a $50M budget in the next five years

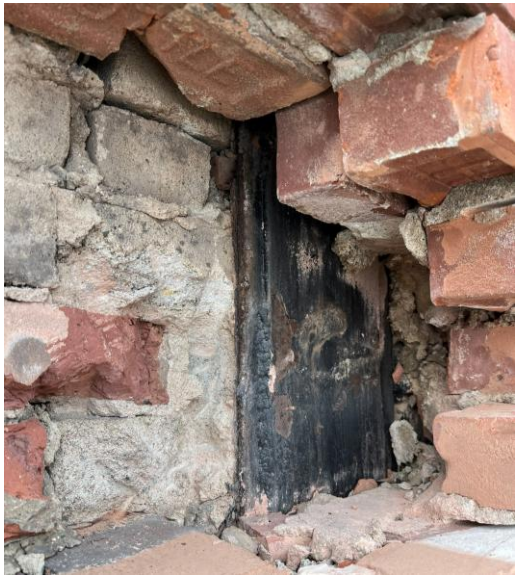
- The current highest priority project is to **address issues at 158 Spring St**, which is slated to begin construction in FY27
- We are also continuing to leverage **Massachusetts School Building Authority grant funds**

Example projects





158 Spring St School, various renovations including to sanitary and plumbing systems (left) and auditorium seating and flooring (right)



Fletcher-Maynard Academy, roof playground wall replacement

We expect to spend $52M on open space and path projects from FY26-30 and will leverage regular maintenance work and non-bonded funding

- In the 2025 Cambridge resident survey, 75% of respondents rated the quality of open space as positive*
- We are exploring opportunities to leverage **regular maintenance work and equipment replacement** rather than large-scale remodeling to maintain quality open space
- We will also leverage **non-bonded funds** (e.g., Community Preservation Act and mitigation funds)

Example projects





Gold Star Mothers Park, critical soil remediation needs (left) and lighting and drainage improvements (right)



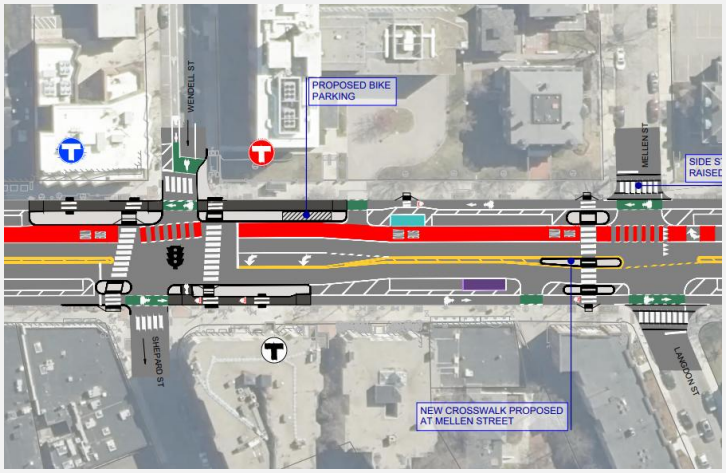
Danehy Park, drainage and facility improvements

*Source: 2025 Resident Opinion Survey by Polity

In FY26-30, we project spending $125M on existing streets commitments and needed improvements

- The City continues to install separated bike lanes committed to in the **Cycling Safety Ordinance**
- The City's streets and sidewalks are generally in good condition, though work remains to **meet Public Right-of-Way Accessibility Guidelines (PROWAG) standards for accessibility***
- **Maintaining fair pavement conditions** continues to be a priority, as the cost of road rehabilitation sharply increases below a certain condition
- However, we are continuing to **manage the scope** of projects and **reconsider higher-cost policies**
  - For example, the City's current brick sidewalk policy leads to elevated construction and maintenance costs and could be an opportunity for cost-savings

Example projects





Cycling Safety Ordinance, Mass. Ave. partial build



Carl Barron Plaza

*As of 2024, per DPW, City streets have a road surface rating of 76.43 out of 100 and 92.4% of sidewalks are in good or fair condition. 65.7% of City curbs are non-compliant with PROWAG.

We expect to invest ~$150M in municipal buildings in the next five years given current building conditions and decarbonization efforts

- Many of the City's non-school buildings are **at or close to exceeding their extended life cycle**
  - Average age of 98 years for offices and 77 years for others
- Aging buildings lead to **declining performance, increased risks, and rising ownership costs**
- The Capital Building Projects Department has established a **disciplined, data-driven and strategic approach** while continuing to grapple with the scale of the needs
- Many of these projects also contribute to the **City's decarbonization efforts** in compliance with the Net Zero Action Plan and Building Energy Use Disclosure Ordinance (BEUDO)

Example projects





First Street Garage, urgent repairs including to the stairs, elevator, sprinklers and fire alarm, concrete, and joints



DPW Salt Shed, building replacement and site improvements

We expect to invest ~$150M in municipal buildings in the next five years given current building conditions and decarbonization efforts

- Many of the City's non-school buildings are **at or close to exceeding their extended life cycle**
  - Average age of 98 years for offices and 77 years for others
- Aging buildings lead to **declining performance, increased risks, and rising ownership costs**
- The Capital Building Projects Department has established a **disciplined, data-driven and strategic approach** while continuing to grapple with the scale of the needs
- Many of these projects also contribute to the **City's decarbonization efforts** in compliance with the Net Zero Action Plan and Building Energy Use Disclosure Ordinance (BEUDO)

Example projects





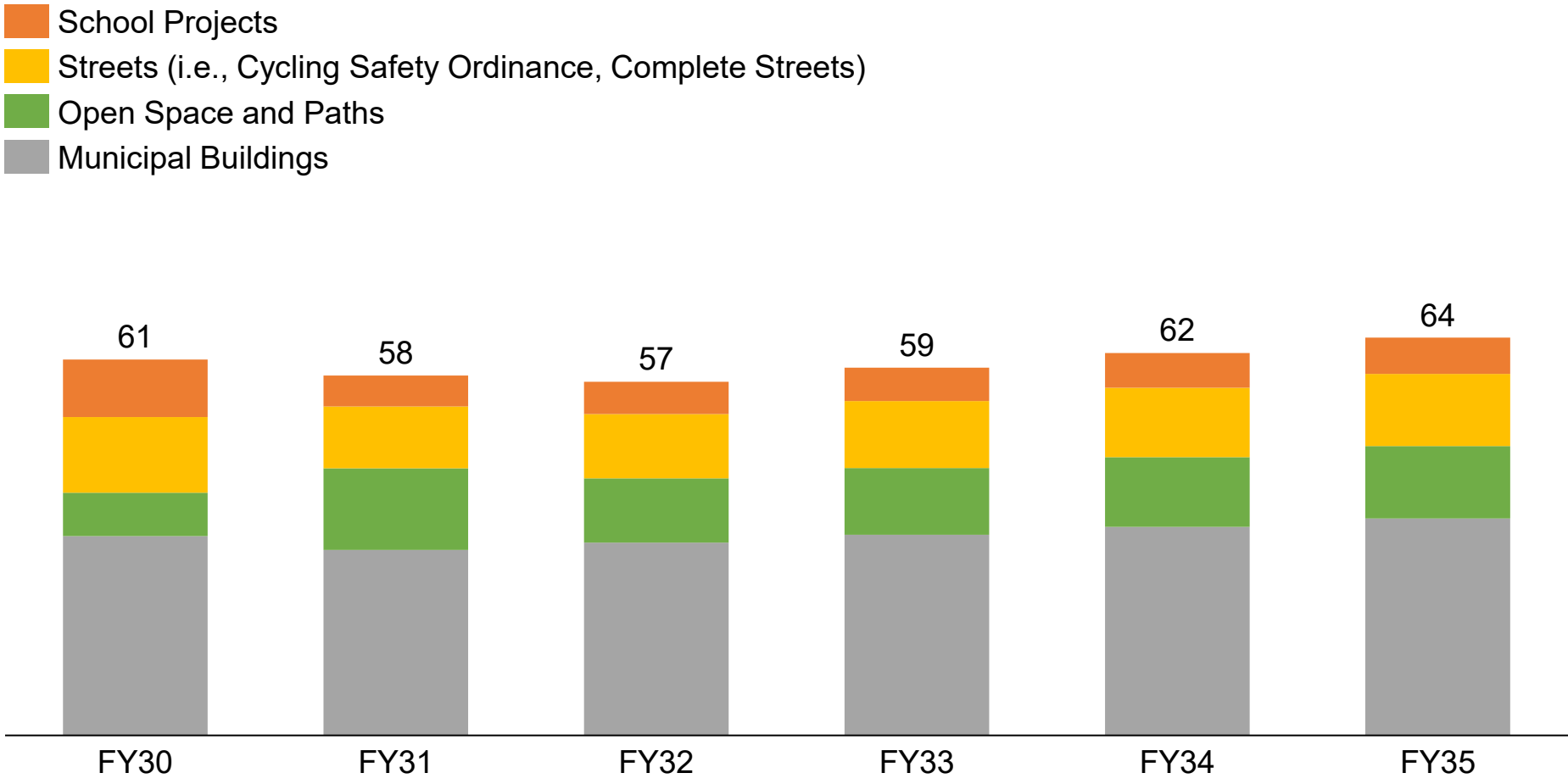
Lafayette Sq. Firehouse, critical improvements to address failing apparatus bay floor slab



Moses Youth Center, HVAC upgrade and accessibility and plumbing improvements

Beyond FY29, we have set aside minimum required bonding amounts for each project type after we complete existing commitments

Cambridge projected tax-supported bond issuances ($M)



Many necessary capital projects have yet to be prioritized and sequenced for inclusion in our bond schedule

Projects in the FY26-30 Bond Schedule

- Cycling Safety Ordinance
- Complete Streets & other streets projects (e.g., River St.)
- Open Space and Paths
  - Linear Park
  - Ahern Field
  - 359 Broadway
  - Gold Star Mothers Park
  - Danehy-New Street Connector
  - Danehy Park
  - Hoyt Field
  - Mid-Cambridge Parks
- Fire Headquarters
- Municipal Facilities Improvement Plan & BEUDO improvements
- 158 Spring St School renovations
- School deferred maintenance

Projects to Prioritize and Sequence

- Large Scale BEUDO projects
- Major Schools Renovation
- Lombardi Building & municipal office space restructuring
  - Including urgent needs at 51 Inman St.
- Sherman St. to Porter Sq. Path
- Elliot St./Harvard Sq.
- Deferred maintenance projects
  - Central Square Library
  - First St. Garage phase 2
  - City Hall Interior & HVAC Improvements
  - Inman Sq. & Porter Sq. Firehouses
  - 205 Western Ave.
  - 105 Windsor St.
  - Corporal Burns Shelter
  - Golf Course Clubhouse

In addition to these unfunded projects, we should also **maintain flexibility in our bond schedule for emergent projects**, such as Gold Star Mothers Park

We will continue to work together to prioritize and make tradeoffs in the context of current constraints

	Topic	Timing
1	FY27 Operating Budget Update	February 3rd, from 3-5pm
2	Budget Community Engagement Meetings	February 7th and 11th
3	Capital Budget Update	February 11th, from 12-2pm
4	**Budget Priorities & Federal Stabilization Update**	**February 25th, from 2-4pm**
5	**Police Budget**	**Week of March 9**